CHAPTER 1

Introduction to Macro Economics

"Macro economics is very much about tying together facts and theories".

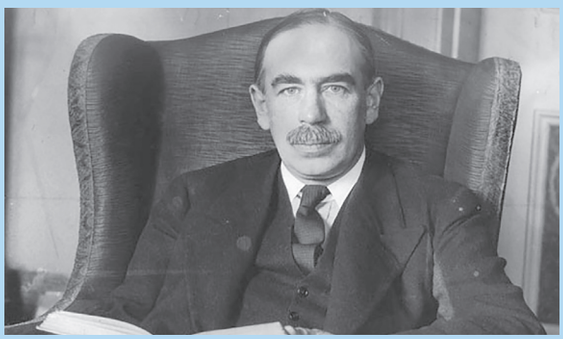
- Dorn Busch, Fischer and Startz

Learning Objectives

1. To enlighten the evolution, importance and basic concepts of macroeconomics, and
2. To understand the functioning of an economy.

1.1 Introduction

The subject Economics is classified into two branches, namely, Micro Economics and Macro Economics. Ragnar Frisch, a Norwegian economist and the co-recipient of the first Nobel Prize in Economic Sciences coined the words 'micro' meaning small and 'macro' meaning large in the year 1933. However, macroeconomics in its modern form, began with John Maynard Keynes and his book "The General Theory of Employment, Interest and Money" published in 1936. Keynes offered an explanation for fallout from the Great Depression, when goods remained unsold and workers unemployed. Hence, Keynes is regarded as the 'Father of Modern Macro Economics'.



J.M.Keynes
Father of Modern Macro Economics

1.2 Meaning of Macro Economics

The word 'Macro' is derived from the Greek word 'Makros' meaning 'large'. Hence, Macro Economics is the study of